

Practice Quiz: Strategic Modeling — Module 04:

Cognition

Name: ____ Date: ____

Part A: Multiple Choice

1. A "strategic inflection point" (Grove) is: A) A turning point in stock price B) A moment when the assumptions underlying a firm's strategy are invalidated C) An intersection of strategies D) A meeting point
 2. **Assumption-based planning** involves: A) Making assumptions B) Surfacing, classifying, and monitoring the assumptions underlying strategy C) Trusting assumptions D) Eliminating assumptions
 3. The **planning fallacy** causes organizations to: A) Plan too much B) Systematically underestimate time, cost, and risk of strategic initiatives C) Avoid planning D) Plan perfectly
 4. A **Red Team** exercise involves: A) Team building B) Deliberately stress-testing strategy by assigning a team to find weaknesses C) Competitive analysis D) Military exercises
 5. The **narrative fallacy** means: A) Stories are useful B) Constructing coherent stories to explain outcomes that were driven by chance, leading to false causal reasoning C) Marketing narratives D) Brand storytelling
 6. **Reference class forecasting** improves predictions by: A) Creating references B) Comparing the current decision to a class of similar past decisions for more accurate estimation C) Using classrooms D) Academic research
 7. **Overconfidence** is dangerous in strategy because: A) It motivates people B) It leads organizations to underestimate uncertainty and overcommit to strategic bets C) It builds culture D) It reduces analysis
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Part B: Short Analysis

1. Your organization plans to enter a new market with an estimated investment of \$50M over 3 years. Apply reference class forecasting: what similar initiatives exist? What were their actual costs and timelines? How should this adjust your estimate?
2. Design a Red Team exercise for your organization's current strategy. Specify: team composition, scope, methodology, and how findings will be integrated.
3. Your organization's strategy failed but the executive team explains it with a compelling narrative ("the market shifted unexpectedly"). Apply the narrative fallacy concept: what alternative explanations should be considered? How would you distinguish genuine causal reasoning from post-hoc rationalization?